entire amount minus ₹4,000 was recovered on the same day. Both Nagarwala and the investigating officer died within a year of the incident—the former of a heart attack, and the latter in a mysterious car accident.

All sorts of rumours did the rounds and one wild allegation was against the Prime Minister herself, who it was alleged, had a secret account with the SBI and that the SBI was attempting to cover up the whole episode. This provided fodder to the opposition and to Morarji Desai who was certain that the money belonged to Indira Gandhi even though there was no proof to support such a wild and scandalous claim. The incident rankled and after Morarji became the Prime Minister in 1977, the P. Jaganmohan Reddy Commission was appointed to investigate the fraud. The Commission concluded quite predictably that the money belonged to the bank but found no evidence to show who had requisitioned it. Morarji believed that Talwar was complicit in the whole affair and was shielding Indira Gandhi. As we shall see in the following account, this soured relations between the two and Talwar was not rehabilitated when the Janata government came to power in 1977, with Morarji at its helm.

An Undeserved Exit: The 'Talwar Amendment'

Talwar's first tenure as Chairman ended on February 28, 1974. He was reappointed for a term of three years but in early 1976 there were rumours (which Talwar initially ignored) that he might be asked to proceed on leave till the end of his tenure. When Talwar met the Finance Minister, C. Subramaniam, the latter offered him the Chairmanship of a (to-be-constituted) Banking Commission. Talwar told the minister that there was no need for a Banking Commission and a Committee with him at its head would suffice. He would of course remain the SBI Chairman. But Subramaniam seemed unhappy with this and tried his best to convince Talwar to accept the post. This was when Talwar smelt a rat. He told the Minister that this was nothing more than a ploy to replace him as the Chairman, an act for which there was no justification. When Talwar met him the next time, Subramaniam told him that though he was universally acknowledged as India's best banker, he was undesirable for the SBI. He made no attempt to clarify his contradictory statements and told Talwar that he was being unnecessarily difficult and that he should proceed on leave. In